

without anything to show for it. If an investor had put US\$100,000 in the strategy at the start of 2015, they would now only have US\$93,000 after five years, and all along they've been paying you fees for the privilege of losing their money.

A year or two happens, but five? This is the worst crisis we've seen since starting this trading business in 2001 and it would be quite reasonable to ask if the markets have changed, if trend following no longer is a viable approach. Well, we have seen some fundamental market changes in the past years. The most obvious being that the interest rates situation changed. In the golden days of trend following, the primary source of returns were from the rates sector. This was because we started out in a very high interest rate regime and saw slowly decreasing interests. As interest rates decrease, bond prices rise, and simply being long year after year was the main source of income. This game is clearly up, given how low are the interest rates we are on.

The other major thing that changed is the risk-on, risk-off mentality of the markets. All too often, there is a single factor that everything depends on, some event which can turn almost all trends on their heads at once. This could be a US debt ceiling deadlock, a major election, FED decision, or similar. The markets have become too globalized, so interconnected, that markets which wouldn't show much correlation decades ago now suddenly move as one.

So, is the game up? Is it time to fold up shop, take the money we made so far and buy a small island somewhere? The thing to remember is that while this may be a tough crisis for the industry, trend following has been declared dead more often than Mark Twain. It's been a premature assumption every time, so far.

If you had started your trading journey in December of 2014, you would be forgiven for folding now. To have five bad years at the start is a career killer, and that is one of the major risks of going into this business. A bad timing for your launch, something over which you have no control, and you're done for.

In our case, having had a decade and a half of strong performance, we'll muddle through it and keep going.

The one thing that saved this year from a total meltdown was the long positions in the rates sector (Figures 6.106–6.108). With all other sectors ending up losing us money, we got a +20% contribution from the rates.

Last year we got caught holding long positions in the stock markets when the bull market came to a sudden and abrupt end. By the end of 2018, we have been short in the S&P and other stock markets for a couple of months, and even started making some money on it. But the short side is notoriously